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Mara Heritage Bank Board Pack — Q3 2025

Board Chair and Chief Executive Officer · 25 June 2025

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Executive summary

Fifteen months into the five-year plan, the board meets at a strategic checkpoint. Digital operational delivery exceeds every target: mobile transactions run at 2.4× baseline, uptime holds at 99.6%, and cost-to-serve has fallen 18%. The capital position remains comfortable at 16.4% CET1, providing 240 basis points above the internal floor. Two concentrations require board decisions: real estate exposure has reached 31.2% against the 25% internal guideline, and digital lending non-performing loans have crossed 9% for the second time. The CEO recommends a strategic refresh that pivots digital lending product mix toward secured products and adjusts the FY28 digital revenue target from 18% to 16%. The board is asked to approve the refresh and revised concentration guidelines that reflect operational reality while capital strength provides adjustment flexibility.

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Performance Against the Five-Year Plan

Digital transformation delivers operational results; concentration dynamics diverge from assumptions

Digital operations exceed every target set at strategy approval. Mobile transaction volumes stand at 2.4× the FY24 baseline. Digital channel uptime has been 99.6% over the quarter. Customer satisfaction scores on digital channels have reached parity with the best peer in the market. The technology platform investment is producing the expected operational benefits: cost-to-serve on retail customers has fallen 18%, and branch traffic on routine transactions is down 31%.

Two material divergences have surfaced. Real estate concentration has reached 31.2% of the loan book, rising 4.2 percentage points over the cycle against an internal guideline of 25%. Digital lending non-performing loans have crossed 9% for the second time, well above the 6-7% steady-state assumption in the original strategy. Both breaches meet the material divergence definition that triggers board strategic review under the governance framework approved in 2024.

Provisioning compression to 68% from the 74% baseline reflects the real estate concentration effect. The capital position has absorbed this drift because risk-weighted assets have grown more slowly than the loan book due to mix shift. CET1 at 16.4% provides 240 basis points of headroom against the 14% internal floor, with 100-150 basis points reserved for opportunistic deployment. [], [], [], [], [], []

Risk Position and Strategic Error Assessment

Real estate concentration breach and digital cohort model failure require board action

The real estate concentration breach reflects demand meeting client needs in a sector where the bank has deep relationships, but it has drifted 6.2 percentage points beyond the guideline approved as the most material structural risk in the strategic plan. The strategy assumed active management of the concentration trajectory; actual performance shows gradual growth that was not arrested before threshold breach. New corporate facilities in real estate now clear hurdle rates that reflect the loaded concentration weight.

The digital lending non-performing loan position represents a strategic error. The CEO's assessment is direct: cohort dynamics were insufficiently understood at strategy approval. The original cohort model anticipated steady-state NPLs of 6-7%; actuals have crossed 9% and management's revised view is that steady state may settle in the 8-11% range. This is within tolerance for a high-margin product but 40-60% above the original assumption. The implications cascade: the digital revenue contribution target for FY28 was modelled on the original NPL

assumption; at the revised rate, the same revenue contribution requires substantially more book growth or a different product mix.

The board question is whether the revised cohort model is robust or requires external review before committing capital. Fifteen months into deployment provides limited loan seasoning for multi-year cohort assessment, yet the magnitude of the miss suggests the original model was fundamentally wrong rather than miscalibrated. The capital allocation framework anticipated this uncertainty: digital lending capital increases as cohort performance is observed, with the option to slow or accelerate based on actual NPL trajectory.

> "The cohort dynamics were insufficiently understood at the original strategy approval. Pivoting now is preferable to defending the original choice."

Strategic Refresh and Options Assessment

CEO recommends product mix pivot with adjusted revenue target

Three options are before the board. Option 1: maintain the FY28 digital revenue target at 18%, accept the higher NPL environment, grow the unsecured digital book faster to compensate. This delivers the original target on revised assumptions but with higher near-term losses and more volatility. Option 2: reduce the FY28 digital revenue target to 14-15%, recalibrate to the realistic NPL trajectory, redirect capital to other diversification levers. This produces a more conservative trajectory with lower volatility but requires explanation in investor communication and may compromise the transformation pace narrative. Option 3: pivot the digital lending product mix away from unsecured consumer credit toward secured digital lending, adjust the target to 16%.

The CEO recommends Option 3. The recommendation rests on the judgement that the unsecured consumer digital lending thesis was a strategic error and that pivoting now is preferable to defending the original choice. The 16% target sits between the original 18% and the conservative 14%, acknowledging both the operational proof that digital capability exists and the reality that cohort assumptions were wrong. The pivot requires managing the transition in the existing unsecured digital book without crystallising larger near-term losses.

The strategic refresh preserves the Option C balanced path approved in 2024—maintaining corporate banking strength while building digital capability incrementally with milestones that allow course correction. This is the course correction the governance framework was designed to accommodate. The capital position provides the flexibility to choose between options rather than being forced into one path by capital constraint.

Capital Allocation and Concentration Guidelines

Capital strength enables strategic adjustment; guidelines require board approval

The capital allocation framework reserves 100-150 basis points of CET1 headroom for opportunistic deployment—strategic acquisitions, market dislocation opportunities, or counter-cyclical book growth. Current headroom of 240 basis points above the 14% floor means the bank can execute the strategic refresh without external capital. Total capital ratio of 19.1% sits comfortably above the 16.5% regulatory minimum. The balance sheet capacity exists to absorb the product mix pivot in digital lending and manage real estate concentration without compromising capital adequacy.

Three principles govern capital deployment over the FY26-28 horizon: capital follows strategic priority not historical share, concentration risks are loaded into hurdle rates, and reserve capacity is maintained for opportunistic deployment. Corporate banking receives allocation sufficient to maintain market position and selectively grow with target clients. Retail receives priority for diversification away from corporate concentration. Digital lending grows to 12-15% of risk-weighted assets by FY28 with explicit cohort-based capital reservation that increases as performance is observed.

The board is asked to approve revised concentration guidelines that reflect the strategic refresh. Real estate concentration guideline moves from 25% to a band that accommodates current position while establishing clear constraint. Digital lending NPL tolerance moves from the 6-7% assumption to the 8-11% revised range, with quarterly monitoring and trigger for further review if actuals exceed the upper bound. Allocations within ±20% of business line targets remain within management discretion; allocations outside that range require board approval.

Governance and Review Cadence

Material divergence triggers met; board decisions resolve threshold breaches

The strategic plan governance framework defines material divergence as more than 200 basis points off path on any of the five targets, triggering board review. Q3 results show provisioning at 68% versus 74% baseline, and real estate concentration at 31.2% versus the 25% guideline. Management's assessment is that these meet the material divergence definition. The review cadence was designed to anticipate mid-course adjustment; this meeting executes that framework.

The board decisions queued for approval are: endorse the strategic refresh with Option 3 product mix pivot and 16% adjusted digital revenue target; approve revised concentration guidelines for

real estate and digital lending NPLs; confirm the capital allocation framework for FY26-28 with business line targets and reservation for opportunistic deployment. If the board requires external review of the digital cohort model before committing to the refresh, management recommends securing that review in Q4 with decision deferred to the next scheduled meeting.

Investor communication on the strategic refresh will frame this as operational strength meeting structural constraint—digital transformation capability is proven, but concentration assumptions embedded in the original strategy surfaced faster than expected. The narrative is course correction from capital strength rather than damage control. The risk is that two simultaneous guideline breaches and a strategic refresh within fifteen months of plan approval may test market confidence in the governance process.

Recommendations

1. Board — approve strategic refresh with Option 3 product mix pivot and 16% FY28 digital revenue target

2. Board — approve revised real estate concentration guideline accommodating current position with defined upper constraint

3. Board — approve digital lending NPL tolerance band of 8-11% with quarterly monitoring and review trigger at upper bound

4. Board — confirm capital allocation framework for FY26-28 with business line targets and 100-150 bps opportunistic reserve

5. CEO — secure external review of digital cohort model robustness if board requires validation before committing to refresh

6. CEO — prepare investor communication on strategic refresh framing operational strength and course correction rationale

7. Risk Committee — establish quarterly monitoring protocol for digital NPL trajectory against 8-11% tolerance band

8. Management — develop transition plan for existing unsecured digital book to minimise near-term loss crystallisation

Sources

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[8] Digital Transformation Strategy — Strategic Refresh

[9] Strategic Capital Allocation Framework

[10] Five-Year Strategic Plan 2024-2028 — Executive Summary